

The Evolving Utility of Balance Sheet Analysis

by Seth A. Klarman

Early in my career, I took Graham and Dodd quite literally. When they advised close scrutiny of a company's balance sheet to assess value, I regarded that as a mandate. Find companies whose stocks were, for whatever reason, trading for less than the conservatively estimated liquidation value of those firm's underlying assets. Buy them, and then wait for the market to correct the mispricing. This seemed like a no-brainer. But over time, it became increasingly clear to me that this approach was overly simplistic and most of the time unactionable, a null or nearly null set. I realized that Graham himself had expressed the limitations of balance sheet analysis such as when he said, "The value of a company's assets as carried in its balance sheet has lost practically all its significance . . . bearing no relationship to the figure at which they would be sold or the figure which would be justified by the earnings." (Chap. 42)

A lot had changed since Graham's day—management practices, shareholder activism, the rate of technological innovation, the volume of corporate merger and acquisition activity—rendering a balance-sheet-oriented approach to valuation and downside protection much less useful. It is important to examine those changes—but to also see the valuable role that book value still plays in analyzing companies in